

## India needs a strategy to deal with China's restrictions on exports of rare earths

On April 2, US President Donald Trump **unveiled** his policy of **reciprocal tariffs**, targeting most of America's trading partners. Two days later, on April 4, China responded by announcing a 34 per cent tariff on all US imports, while also **placing** export restrictions on rare earths. **Critical minerals and rare earth elements**, which are used across several key sectors, **ranging** from electronics to renewables, automobiles and defence, **are** increasingly playing a **vital** role in the economy. **For instance**, lithium, nickel and cobalt are used in lithium-ion batteries. Dysprosium and neodymium, and tellurium, indium, and gallium are used in wind turbines and photovoltaic cells respectively. These minerals are **central to** the fourth industrial **revolution**. **Restrictions** over their supply, which can **disrupt** production processes across several sectors, **have** thus become central to the global trade war.

China holds a position of **dominance**. As per the International Energy Agency, the country **accounts for** a 35 per cent share in the refining of nickel, 50-70 per cent of lithium and cobalt and around 90 per cent for rare earth elements. China not only dominates the production of rare earths, but also has the most reserves. As per data from the US Geological Survey, the country's reserves have been estimated at 44 million metric tons. Brazil's reserves have been **pegged** at 21 million metric tons, India's at 6.9 million, Australia's at 5.7, Russia's at 3.8 million and Vietnam's at 3.5 million. **Following the imposition** of restrictions in April, China's **exports** of rare earth magnets **fell** sharply in May. The restrictions have **led to** panic across the world, with many **staring at** supply shortages in several sectors.

In India, **for instance**, auto majors have been **vocal** about their worries over supply being **squeezed**. As per reports, the domestic auto industry has asked the government to **intervene** in the matter. Other countries are also moving ahead to secure supplies. The **framework** agreed to by the US and China also involves the **easing** of rare earth supplies. Announcing the deal, Trump posted on a social media platform that "Full magnets, and any necessary rare earths, will be supplied, up front, by China." As per reports, EU leaders will also be **pushing for** supplies from China at a **summit** next month. Other **countries** such as Brazil, Saudi Arabia and Vietnam **are** said to be aggressively exploring this segment. In 2025, India launched a National Critical Mineral Mission to help achieve **self-reliance** in the critical mineral sector. Under this, the Geological Survey of India is expected to conduct 1,200 **exploration** projects by 2030-31. This issue needs to be tackled at multiple levels. The objective should be to secure supplies in the short term so as to prevent **disruptions** across industries, while also focusing on expanding domestic exploration, mining and processing and **firming up** alternative sources of supply.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

[Practice Exercise]

## Vocabulary

1. **Deal with** (phrasal verb) – handle, manage, tackle, confront, address निपटना
2. **Unveil** (verb) – reveal, launch, disclose, present, announce अनावरण करना
3. **Reciprocal tariff** (noun) – trade taxes that one country imposes on another in response to tariffs the second country has placed on the first country's goods पारस्परिक शुल्क
4. **Place** (verb) – impose, enforce, apply, put in effect, establish लगाना
5. **Range** (verb) – vary, extend, span, fluctuate, cover फैला होना
6. **Vital** (adjective) – essential, crucial, critical, indispensable, fundamental अत्यावश्यक
7. **For instance** (phrase) – for example, such as, like, to illustrate, namely उदाहरण के लिए
8. **Central** (to) (adjective) – key, crucial, main, essential, core मुख्य / केंद्रीय
9. **Revolution** (noun) – upheaval, transformation, shift, radical change, innovation क्रांति
10. **Disrupt** (verb) – interrupt, disturb, halt, obstruct, break बाधित करना
11. **Dominance** (noun) – control, superiority, supremacy, pre-eminence, power वर्चस्व
12. **Account for** (phrasal verb) – constitute, make up, represent, explain, comprise बनाना
13. **Peg** (at) (verb) – fix, estimate, set, value, determine निर्धारित करना
14. **Following** (preposition) – after, subsequent to, ensuing, in the wake of, in response to के बाद
15. **Imposition** (noun) – enforcement, application, levying, institution, infliction थोपना
16. **Lead** (to) (verb) – cause, result in, bring about, give rise to, trigger उत्पन्न करना
17. **Stare** (at) (verb) – face, confront, behold, glare at, look at intently घूरना / सामने आना
18. **Vocal** (adjective) – outspoken, expressive, frank, assertive, forthright मुखर
19. **Squeeze** (verb) – restrict, tighten, compress, suppress, limit सीमित करना
20. **Intervene** (verb) – mediate, step in, interfere, arbitrate, intercede हस्तक्षेप करना
21. **Framework** (noun) – structure, system, outline, setup, arrangement ढांचा
22. **Easing** (noun) – relaxation, relief, reduction, softening, moderation कमी

23. **Push for** (phrasal verb) – demand, advocate, press for, lobby for, urge जोर देना

24. **Summit** (noun) – meeting, conference, assembly, convention, gathering शिखर सम्मेलन

25. **Self-reliance** (noun) – independence, self-sufficiency, autonomy, self-support, self-dependence आत्मनिर्भरता

26. **Exploration** (noun) – investigation, search, probing, survey, prospecting खोज / अन्वेषण

27. **Disruption** (noun) – disturbance, interruption, breakdown, disorder, hindrance अवरोध

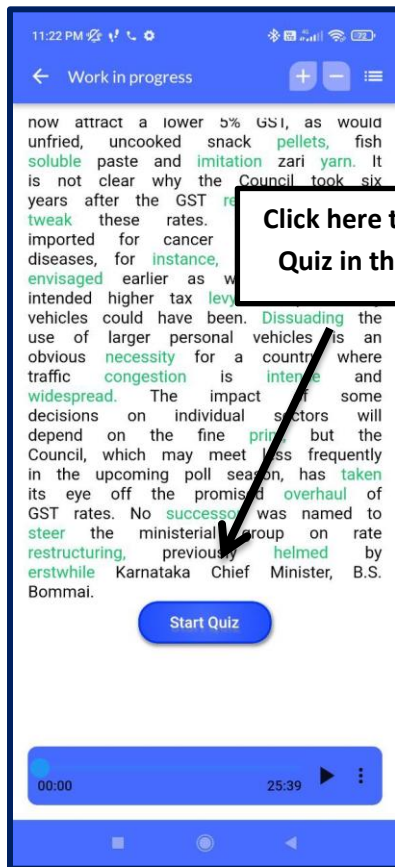
28. **Firm up** (phrasal verb) – finalize, strengthen, confirm, consolidate, secure मज़बूत करना

@mocks\_wallah

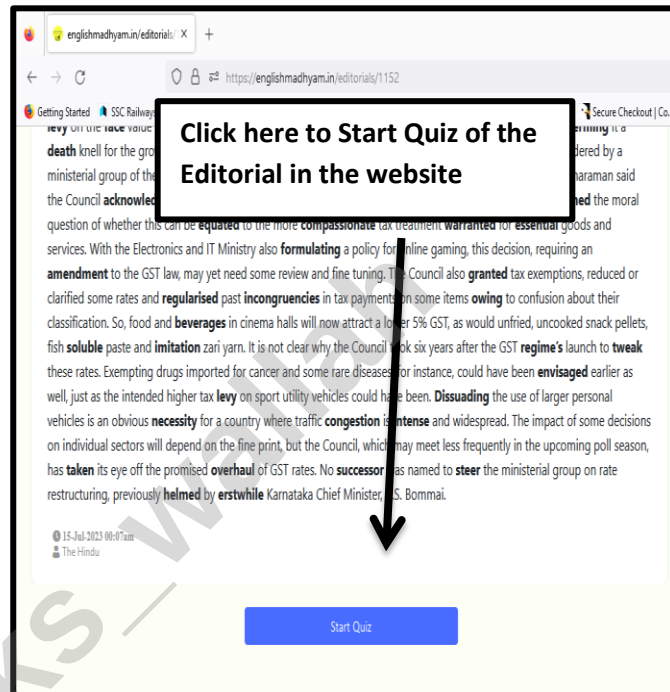
### Summary of the Editorial

1. **Trade Tensions Sparked Action** – In April, the U.S. imposed tariffs, prompting China to retaliate by placing export restrictions on rare earths, escalating global trade tensions.
2. **Rare Earths are Critical** – These minerals are vital for sectors like electronics, renewable energy, automobiles, and defence, driving the fourth industrial revolution.
3. **Examples of Key Elements** – Lithium, cobalt, and nickel are used in batteries, while dysprosium and neodymium are used in wind turbines, and tellurium, indium, and gallium in solar cells.
4. **Global Impact of Restrictions** – Supply chain disruptions due to these restrictions are causing concern across industries worldwide.
5. **China's Dominance** – China dominates global refining and production: 35% of nickel, 50–70% of lithium and cobalt, and 90% of rare earths.
6. **Largest Reserves Held by China** – With 44 million metric tons in reserves, China far surpasses others like Brazil (21M), India (6.9M), and Australia (5.7M).
7. **Exports Fell After Curbs** – China's rare earth magnet exports dropped significantly in May following the export restrictions.
8. **Global Supply Concerns Rise** – The restrictions have triggered global panic about shortages in industries dependent on these materials.
9. **India's Auto Sector Alarmed** – Indian automobile companies have raised concerns and sought government intervention due to supply uncertainties.
10. **US-China Deal Aimed at Stability** – Part of the U.S.-China framework involves securing uninterrupted supply of rare earths from China.
11. **EU Also Seeking Access** – The EU is preparing to engage China in talks for continued access to rare earth supplies at an upcoming summit.
12. **Other Nations Mobilize** – Countries like Brazil, Vietnam, and Saudi Arabia are actively exploring rare earth resources to reduce dependence on China.
13. **India's Critical Mineral Mission** – Launched in 2023, the mission aims for self-reliance through exploration, mining, and processing of key minerals.
14. **1,200 Projects Planned** – The Geological Survey of India is set to undertake over 1,200 exploration projects by 2030-31 under this mission.
15. **Dual Approach Needed** – India must focus on securing short-term supplies while simultaneously expanding domestic capacity and finding alternative global sources.

## Practice Exercise: Banking Pattern Based



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